CHAPTER 4

Total (Investments) Ltd and subsidiaries

212. Total Refrigeration Ltd (previously Glacier Refrigeration Ltd) came into the joint ownership of Unilever and Glacier in 1964 when it was organised primarily for the installation and servicing of refrigerated cabinets provided to outlets by Wall's and Lyons Maid. This followed the disbandment of a service organisation of a major refrigeration manufacturer which had been utilised before then by Wall's for this purpose. Previously the Total company had been responsible for providing a specialist service in refrigeration equipment to the Lyons group. In 1966 Total Refrigeration Ltd changed its name to Total (Investments) Ltd (TIL) and a new company under the name Total Refrigeration Ltd (Total) was formed as a subsidiary of TIL to act as managing agent for the latter's refrigeration service business. In 1968 Lyons Maid acquired the holding of Glacier in TIL which remains jointly owned with Unilever, neither shareholder having control.

213. Total provides a service on a cost-recovery basis in installing, overhauling and servicing refrigerated cabinets, vehicle refrigeration and cold store equipment and in purchasing refrigeration equipment. It makes available to Wall's and Lyons Maid the benefit of its skills in the development and evaluation of equipment and acts as their buying agent for refrigerated cabinets. Each of the two companies independently chooses the number, types and makes of refrigerated cabinet that it requires from time to time and the cabinets (and vehicles and cold store equipment) remain their property or on lease to them. Some 5 per cent of Total's turnover arises from activities on behalf of other companies which are mostly members of the Lyons or Unilever groups or associated companies but not other ice cream manufacturing companies. Total served Midland Counties before the latter's purchase by Glacier and would be willing, we have been informed, to provide services on a commercial basis to other manufacturers of ice cream if requested to do so.

214. At the same time as Total was formed, TIL acquired the cone and wafer manufacturing and distribution business previously operated by Wall's at Gloucester and established Embisco Ltd (Embisco) as a new wholly-owned subsidiary to provide cones and wafers for sale mainly to Lyons Maid (which had previously purchased its requirements elsewhere) and Wall's. This is still the principal business but sales to third parties have increased in recent years. The premises at Gloucester are still made available to TIL by Wall's on lease (but production plant is owned by TIL).

215. In 1970 TIL formed Barnwoods Insurance Company Ltd (Barnwoods) as its subsidiary, to make available to customers of Wall's and Lyons Maid, insurance cover against loss arising from the deterioration of ice cream, following the breakdown of a refrigerated cabinet supplied by Wall's or Lyons Maid.

No business is done for third parties (the terms of the authority given to Barnwoods under the Insurance Companies Acts prohibit Barnwoods from extending its activities beyond those currently undertaken).

Appointments and organisation

216. Lyons Maid and Wall's are entitled to appoint an equal number of directors to the TIL board. The TIL Chairman (who has no casting vote) is to be appointed, according to the Articles, by rotation but in practice the appointments have been for indefinite periods. The Boards of Total, Embisco and Barnwoods are appointed by TIL on the same principles. The TIL Board appointments are made from among the directors of Lyons Maid and Wall's and the Boards of the subsidiaries from among directors and senior executives of Lyons Maid and Wall's. Control of policy of Barnwoods' business is exercised by the Board of TIL but control of the Total and Embisco business is by Operations Groups from the senior management of those companies, together with representatives of Lyons Maid and Wall's. These Groups act under the ultimate control of the TIL Board and this is exercised through approval of annual plans and budgets and monitoring by quarterly reviews against budget.

217. A number of senior managers and other executive staff is seconded by the two parent companies to the operating subsidiaries of TIL. For instance, both senior managers who are also Directors of Total have been seconded to Total by the parent companies, other senior managers being usually employed by Total itself. The day-to-day management of the business of Total is conducted by its Operations Executive which consists of its executive Directors and senior executives. All personnel engaged in Embisco production and distribution activities are employed by Wall's but work exclusively for Embisco. The Managing Director of Embisco is seconded by Wall's on a part-time basis and is responsible to the TIL Board for day-to-day management. The day-to-day management of Barnwoods is conducted by an employee of Wall's who devotes the majority of his time to Barnwoods.

Operations of Total

218. Total's head office is in Ruislip (London) and regional depots are situated at Ruislip, Birmingham and Hyde (Cheshire) with a country-wide network of engineers and nominated contractors in areas where service requirements are small (amounting to about 2 per cent of all servicing).

219. The parent companies select and pay for their own refrigerated cabinets and other equipment independently but Total provides an advisory, testing, repair, renovation and development service, places the orders as agents and accepts the cabinets at its depots. Installation of cabinets in outlets, the cabinets remaining the property of, or on lease to the parent company in question, is carried out by Total (but initiated solely by one of the parent companies) from the stock held for that company at the appropriate Total depot. This usually occurs when the parent company obtains a new outlet or decides that a different cabinet is required; if the other parent company has lost that outlet, Total removes from the premises any cabinet supplied by the other parent company (usually co-ordinating the two operations) since

cabinets are not sold or transferred as between the two suppliers,[1] and there are substantial differences in the ranges of cabinets required by each. The targets are 10 working days from receipt of instructions for installation (3 working days when a cabinet is not repairable on site or obsolete and Total is to effect delivery itself).

220. Total services the regional cold store refrigeration of Wall's and Alpine Refrigerated Deliveries Ltd (which distributes Lyons Maid products), vehicles used for radial distribution from depots and cabinets installed in outlets. Preventive maintenance is carried out on the first two of these categories but not on cabinets, the servicing of which in the event of breakdown or malfunctioning is initiated by a call from the user. Within a priority allocation of 21 per cent of the estimated servicing hours, maximum priority is given to cold stores and vehicles where potential losses are highest and, from time to time, Wall's and Glacier nominate the customers to whom they wish the next degree of priority to be given. In 1976 about 92 per cent of calls overall were cleared (ie equipment restored to working order) within 6 days and 65 per cent within 1 day after the request in respect of all types of equipment. In the 8 months to August 1977 the figures were 95 per cent and 70 per cent. These figures relate to all types of equipment. As respects refrigerated cabinets in outlets the urgent call failure rate (ie the extent to which Total failed to provide service within target times[2]) in 1976 for non-priority outlets remained between 5 per cent and 10 per cent during most of the year but rose from 10 per cent to over 20 per cent during the height of the summer.

221. No charges are made by Total to outlets in which cabinets supplied by Wall's or Lyons Maid are installed whether for installation, servicing, removal or any other service. Total is expected to recover its costs (after charging third parties[3] including the subsidiary and associated companies of the parent companies at commercial rates) from Wall's, Glacier and Alpine, broadly apportioned to the amount of work done for each with administration costs divided into equal shares between Lyons Maid and Wall's.

Financial results

222. The financial results of Total between 1974 and 1976 were as follows:

	1974 £'000s)	*1975 £'000s*	*1976 £'000s*
Charges to parent companies (recovery of cost only)	2,031·4	2,301·7	2,524·7
Charges to third parties	582·8	340·0	303·8
Net profit/[loss] thereon	[30·0]	2·0	12·0
Capital employed at year end	487·1	331·9	516·2

[1] Glacier and Wall's each pointed out to us that one of the ways in which it competed with the other for the custom of retail outlets was in respect of the type of refrigerator it was prepared to provide.

[2] ie by the end of the second working day following the day of call.

[3] Total's charges to its third party customers (ie customers other than Wall's, Glacier and Alpine) are calculated so as to recover the cost of and direct expenses incurred in the provision of services to those customers, the overheads directly associated with those services and a proportion of its indirect overheads, and so as to yield a profit. The costs to be recovered from Wall's, Glacier and Alpine are accordingly reduced.

Reporting

223. At annual intervals Lyons Maid and Wall's independently furnish Total with a plan of estimated requirements for the purchase, renovation, servicing and disposal of refrigeration equipment and each necessarily maintains close contact with Total, on a day-to-day basis. The estimates enable the Total Operations Executive to prepare operating plans and capital budgets and an outline budget only is considered by the Total Operations Group for final approval by TIL, the full budget being circulated only to Total's management and certain of its staff. Monthly reports are prepared showing monthly cost and volume figures against plan of Total's activities in detail and a breakdown of detailed expenses, balance sheet against plan, progress of capital projects and development, analysis of performance in dealing with calls. Each parent company received separate reports on activities on its own behalf and certain other reports (eg relating to unit costs and profits against plan in respect of activities for third parties) are circulated only to Total's management. Total reports quarterly to the TIL Board on amounts charged to each parent company in respect of overall activities on its behalf and net profits against plan on activities for third party customers. Appendix 8 contains a list of the items dealt with in the monthly report to the Total Operations Group and their circulation and in the quarterly report to TIL.

224. At weekly intervals Total sends to each of the parent companies a report on the stocks of cabinets held by Total for that parent company (giving details of the types and state of the cabinets in stock) and on the movements and scrapping of cabinets in the previous week. Separate cabinet stock records are maintained by Total for each parent company available only to that company. Until March 1978 records of outlets were maintained by Total for purposes of reference in connection with cabinet maintenance but were not disclosed to either parent. Such records were destroyed in October 1978 except in respect of outlets served by nominated contractors (see paragraph 218).

Operations of Embisco

225. Embisco manufactures cones and wafers for distribution direct to Wall's, Glacier and some third parties. The parent companies are charged prices calculated to yield neither profit nor loss and third parties are required to make a contribution to indirect overheads and profit. Lyons Maid and Wall's, in August, provide estimates of requirements during the next calendar year which go in to the Embisco plans and budgets for ultimate approval by TIL before the end of the year. The sales plan shows line by line the separate estimates of Wall's, Glacier and third parties of their proposed purchases of cones and wafers. Similarly, weekly and monthly reports to the Board and quarterly reports for the TIL Board show, *inter alia*, sales of each product line to Wall's, Wall's-Whippy, Lyons Maid, Glacier franchise operators, Midland Counties and third parties.

Operations of Barnwoods

226. Barnwoods provides insurance cover against loss of or damage to stocks due to failure of or faults in cabinets loaned by Wall's or a Glacier company. Insurance with Barnwoods is not compulsory for Wall's and Glacier customers but is recommended to them and the suppliers' sales staffs act

as agents of Barnwoods in obtaining the business. Similarly, a destroyed goods report from a Total engineer serves as a claim under the policy. The premium is £15[1] for each outlet at which a cabinet supplied by one of the parents is installed, irrespective of the number of cabinets at that outlet. There is an excess of £12[2] in respect of open display cabinets and a claims maximum of £100. Premiums are fixed with a view to operating at neither profit nor loss and Barnwoods recharges Lyons Maid and Wall's for any balance of administrative expenses not covered by premium income and is indemnified by the parent companies against any amounts by which claims made by customers for its own products exceed the premium income provided. Neither Lyons Maid nor Wall's provide any returns to Barnwoods. An annual budget is prepared by Barnwoods in separate sections for its business with customers of each, based on expected cover and claims experience, for approval by TIL and a similar quarterly operating statement showing out-turn for discussion by the TIL Board.

General

227. Any information which theoretically can be acquired by each parent company about the activities of the other is derived by its nominees from operating plans, budgets and reports submitted to the Board of TIL or to the Boards or Operations Groups of the subsidiaries. This does not include any information relating to the individual outlets supplied by each respectively nor to their respective overall sales. The Embisco Estimates and Statements of sales of cones and wafers by each provide no indication of their sales of particular ice cream products, since they can be consumed with a variety of individual products with the exception of cones for factory filled products.

228. Wall's stated that employees seconded as executives to the TIL subsidiaries would be in breach of confidence if they conveyed to Wall's commercial information about Lyons Maid and fully understood that this would be an abuse of their position and calculated to impair the future of the operating subsidiary in question. Glacier emphasised that TIL and its subsidiaries were managed with the overriding need to maintain the confidentiality of commercial information supplied by the parents and no information of any commercial interest was in fact revealed, certainly less, and of less value, than that gained through the sales force and other sources of market intelligence. Both were satisfied that the other was equally concerned to maintain confidentiality.

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[1] May 1978.

[2] £6 in the case of any other cabinet.